

FREEMARKETWATCH.WORLD

Session 2 of 6 · ~2 hours including discussion

What Makes Good Money

And what makes it a weapon

Recap: Session 1

Trade creates civilization

Specialization through trade — lengthening lines of production — is the engine behind everything we have.

Classic barter breaks down

The double coincidence of wants makes complex trade impossible. Money is the solution — a universal go-between.

Money emerged naturally

Not from government decree. From the bottom up, wherever people traded. Communities converged on what worked.

Gold won the competition

Every civilization independently arrived at gold. Scarce, durable, divisible, fungible, verifiable. The best natural money ever found — with one fatal flaw.

Scarcity and Decentralization — The Two That Matter

“Give me control of a nation's money supply and I care not who makes its laws. — attributed to Mayer Amschel Rothschild”

Good money needs seven properties. But two of them are the ones that determine everything else: scarcity and decentralization.

Scarcity: if anyone can create more of the money, they will. And when there is more money chasing the same goods, each unit buys less. This is not complicated — it is the same as any commodity. A bumper crop of wheat makes wheat cheaper. A flood of new money makes money cheaper.

Decentralization: the moment one entity controls the money supply, they control everything purchased with it. That is an enormous amount of power. History shows without exception what happens when that power is concentrated.

Gold's Strengths — and Its Fatal Flaw

Passed nearly every test

Scarce, durable, divisible, fungible, verifiable, decentralized — the best natural money ever found. No government required to validate it.

The fatal flaw: it is heavy

Moving large amounts across distances is slow, expensive, and dangerous. As trade became global and economies grew, this became a serious problem.

The practical solution

Store gold with trusted custodians — banks — and carry paper certificates redeemable for gold instead. Convenient. Everyone wins.

The quiet abuse

Custodians noticed most people never collected all their gold at once. So they quietly started issuing more certificates than gold existed. A little at first. Then more.

From Fractional Reserve to 1971

“The gold standard did not fail. It was abandoned by those it constrained.”

The only thing keeping banks close to honest was their promise to redeem certificates for gold on demand. As long as that promise held, the system had a floor. But governments, recognizing the power of the printing press, gradually took control.

The Federal Reserve was established in 1913 — a central bank empowered to manage the money supply and act as lender of last resort. The gold constraint became increasingly inconvenient through two world wars and expanding government programs.

On August 15, 1971, President Nixon officially severed the last link between the dollar and gold. From that moment, there was no floor at all. Money could be created without limit, backed by nothing but the authority of the state.

Hard Money vs Soft Money

Hard Money (Gold Standard)	Soft Money (Post-1971 Fiat)
Governments must balance budgets — spending is constrained by real revenue	Governments borrow indefinitely — cost socialized through inflation
Wars require visible taxes — citizens feel the cost immediately	Wars financed by printing — cost hidden and deferred
Saving is rewarded — purchasing power holds over time	Saving is punished — money loses value every year
Price stability enables long-term planning	Persistent debasement shortens every planning horizon

DISCUSSION — Session 2

1. The quote about controlling the money supply — do you believe that's true? What are the implications if it is?

2. Can you think of examples in your lifetime where you noticed money losing value? What did that look like practically?

3. The gold standard era produced broadly shared prosperity. What changed after it ended? What do you see differently now?

4. "The gold standard didn't fail — it was abandoned by those it constrained." Do you agree? Push back if not.

Coming Next — Session 3

“When the constraint on money creation disappears, something changes — not just in prices, but in wars, in inequality, in the quality of the things we build, and in how we think about the future.”

Homework prompt

Look at a grocery receipt from last year, or think about a price you remember from 10 years ago. Is that increase explained by something getting more valuable — or by money getting less reliable?

Explore the data

freemarketwatch.world — see the US dollar's purchasing power loss since 1913 and since 1971

Session 3 preview

The blast radius — what unlimited money creation actually does to families, communities, and societies